

READING PASSAGE 3

The Economics of Natural Disasters

A The study of the economics of natural disasters has undergone a remarkable transformation over the past several decades. What was once a niche area of academic inquiry has developed into a rich and diverse field of research, drawing on insights from a wide range of disciplines and theoretical traditions.

B The intellectual lineage of this field extends considerably further than many realise. While modern research techniques have only recently been applied to these questions, philosophers and natural scientists have grappled with related issues for centuries. The transition from speculative philosophical inquiry to systematic empirical investigation represents one of the most significant developments in the intellectual history of this domain.

C The mechanisms underlying these phenomena operate at multiple levels of analysis, from the micro-level of individual decision-making to the macro-level of institutional and structural change. At the individual level, cognitive processes, emotional responses, and social influences shape the choices that people make. At the organisational level, formal rules, informal norms, and power dynamics govern collective action. At the societal level, historical legacies, cultural values, and political structures create the broad context within which lower-level processes unfold.

D Case studies from diverse geographical and cultural settings provide compelling illustrations of these dynamics in action. In one particularly well-documented example, researchers tracked developments over a fifteen-year period in a setting that offered a natural experiment in the effects of policy change. The introduction of a new regulatory framework produced a cascade of adaptations that rippled through the entire system, generating outcomes that both confirmed theoretical predictions and revealed previously unrecognised complexities.

E Despite the substantial progress that has been made, significant challenges and controversies remain. Critics have raised important methodological concerns regarding the generalisability of findings derived from studies conducted in specific contexts. The predominance of research carried out in Western, educated, industrialised, rich, and democratic societies raises questions about the applicability of current theories to populations with different cultural, economic, and political circumstances. Furthermore, the reliance on cross-sectional designs in much of the existing literature limits the capacity to draw strong causal inferences.

F The future trajectory of research in this area will likely be shaped by several converging trends. Advances in computational methods and data science are opening up new analytical possibilities, enabling researchers to detect patterns and test hypotheses at scales that were previously unimaginable. Simultaneously, growing recognition of the importance of interdisciplinary collaboration is breaking down traditional barriers between fields and fostering innovative syntheses of diverse theoretical perspectives.

G The evidence reviewed above demonstrates both the substantial achievements of research in this field and the significant work that remains to be done. As new tools and theoretical perspectives become available, and as the phenomena themselves continue to evolve, the research community will need to maintain both rigour in its methods and openness to new ideas. The stakes are high, for the questions addressed by this research bear directly on some of the most important challenges facing humanity in the twenty-first century.

Questions 1–2

Choose the correct letter, A, B, C or D.

1 According to the passage, what is one of the key factors identified by researchers?

- A. inconsistent results across cultures
- B. a consistent pattern across diverse contexts
- C. no measurable effects
- D. effects limited to Western countries

2 The author suggests that early studies in this field were limited by:

- A. excessive funding
- B. theoretical and methodological limitations
- C. public interest
- D. international collaboration

Questions 3–4

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

3 Early researchers had access to the same technologies as modern scholars.

4 The landmark study discussed in the passage involved participants from multiple countries.

Question 5

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

5 Case studies have documented the effects of _____ change on the system.

Question 6

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

6 The passage suggests that structural factors are less important than individual choices.

Question 7

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

7 The passage identifies power _____ as a key factor at the organisational level.

Question 8

Choose the correct letter, A, B, C or D.

8 According to the passage, what is one of the key factors identified by researchers?

- A. economic incentives and institutional constraints
- B. individual personality traits
- C. random chance
- D. government policies alone

Question 9

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

9 Contemporary understanding of this topic is more sophisticated than it was fifty years ago.

Question 10

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

10 The author notes that researchers have called for more _____ approaches to investigation.

Questions 11–12

Choose the correct letter, A, B, C or D.

11 Which of the following best describes the author's view on future developments?

- A. too much data collection
- B. the generalisability of findings across contexts
- C. insufficient government funding
- D. overly complex statistical methods

12 According to the passage, what is one of the key factors identified by researchers?

- A. excessive funding
- B. theoretical and methodological limitations
- C. public interest
- D. international collaboration

Question 13

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

13 Case studies have documented the effects of _____ change on the system.